

24STCV01492 24STCV01492

County: los-angeles

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Case Number: 24STCV01492 Hearing Date: July 31, 2026 Dept: 1

Preliminary Approval of Class Action Settlement

Department 1

Dominguez v. Arm & J Corporation

Case Number: 24STCV01492

Hearing: July 31, 2026

TENTATIVE RULING

The Court's tentative ruling is to GRANT preliminary approval contingent on the parties addressing the following:

1.

The

escalator clauses at Settlement Agreement at ¶9 provides Defendant with the option to "cut off the Class Period end date such that the escalator provision is not triggered." (Settlement Agreement, ¶9.) However, the parties must resolve any uncertainty regarding the Class Period end date prior to preliminary approval being granted and notice being distributed. Based on current records, the parties and the administrator must review and verify the workweek total and confirm the end dates of the Class Period, revise the Class Period definition, and remove the period-shortening option from the escalator clause. In addition, please ensure that the notice is modified to match any alterations to the Settlement Agreement.

2. Funding

Deadline: Per section 4.2, Defendant will fund the Settlement “fourteen (14) days after the latter of the Effective Date” (4.2); however, per section 3.1, “Defendant has no obligation to pay the Gross Settlement Amount (or any payroll taxes) prior to the deadline stated in Paragraph 6.1 of this Agreement.” (§3.1) Paragraph 6.1 is the provision containing Plaintiff’s Releases as to Defendant. Revise accordingly.

3.

The releases in ¶6.2 are overbroad.

a.

Class Members should only release claims alleged in the operative complaint or those which were alleged or could reasonably have been alleged based on the facts and claims actually alleged in the operative complaint. Class Members should not release claims “arising out of” the allegations set forth in the complaint.

b.

Class Members should not release claims for PAGA penalties. Only Aggrieved Employees should release such claims Revise ¶6.2 accordingly.

4.

The Released Parties defined in ¶1.14 are overbroad. Why is it proper for the Class to release claims against “any individual or entity that might be found liable as an Employer under Section 558.1 of the Labor Code as to any Class Member or Aggrieved Employee.”? (¶1.14) The Class should only release claims against the named Defendant.

5.

Paragraph

13.1 contains a typo “If, for any reason the Court does grant Preliminary Approval, Final Approval or enter Judgment, Defendant reserves the right to contest certification of any class for any reasons, and Defendant reserves all available defenses to the claims in the Action, and Plaintiffs reserve the right to move for class certification on any grounds available and to contest Defendant’s defenses.” (¶13.1) Should be stated as “does not”.

6.

The

Notice should make it clear that Responses may be submitted via fax and email as well as postal mail.

The Court orders the parties to

submit supplemental briefing and supporting declarations as well as revised versions of the Settlement Agreement and Class Notice to address the Court's concerns. The parties are directed to

submit the revised signed Settlement Agreement along with a red-lined copy showing all changes and a revised Class Notice with a red-lined copy showing the changes to the notice. Please ensure

that all revisions of the Settlement Agreement are properly incorporated into the revised Class Notice. Also review

the proposed Order, revise it to conform to the final settlement terms, and file the revised proposed Order with the Court.

All supplemental papers are due to be filed by

_____. The

Court sets a non-appearance case review for _____

to review the supplemental papers. The

hearing on the motion for final approval is scheduled for

_____ at 10:30 a.m. in Department 1.

BACKGROUND

This is a wage and hour class action. On

January 19, 2024, Plaintiff gave notice to the Labor and Workforce Development Agency ("LWDA") and Defendant of his claims for Defendant's violations of Labor Code sections 201, 202, 203, 204, 210, 226, 226.3, 226.7, 256, 510, 512, 1174, 1174.5, 1185, 1194, 1194.2, 1197, 1197.1, 1198, 1198.5, 1199, 2802, 2804 and the California Industrial Welfare Commission ("IWC") Wage Order 4 2001 (the "Applicable Wage Order") under the Private Attorney General Act ("PAGA").

On January

19, 2024 Plaintiff commenced this Action by filing a Complaint alleging causes of action against Defendant for (1) failure to pay minimum wage for all hours worked in violation of Labor Code sections 1194 and 1194.2, and the Applicable Wage Order; (2) failure to pay proper overtime wages in violation of Labor Code sections 510, 1197, and 1198, and the Applicable Wage Order; (3) failure to

provide compliant rest periods and pay missed rest break premiums in violation of Labor Code section 226.7 and the Applicable Wage Order; (4) failure to provide compliant meal periods and pay missed meal period premiums in violation of Labor Code sections 226.7 and 512, and the Applicable Wage Order; (5) failure to maintain accurate employment records in violation of Labor Code section 1174; (6) failure to pay timely wages during employment in violation of Labor Code sections 204, 210; (7) failure to pay all wages due at separation in violation of Labor Code sections 201, 202, and 203; (8) failure to reimburse business expenses in violation of Labor Code sections 2802 and 2804; (9) failure to provide complete and accurate wage statements in violation of Labor Code sections 226 and 226.3; and (10) deceptive, fraudulent, or otherwise unlawful business practices based on the foregoing in violation of California's Unfair Competition Law (Bus. & Prof. Code, §§ 17200 – 17210).

On or around June 13, 2024, Defendant filed its Petition to Compel Arbitration; Dismiss Class Claims, and Stay Proceedings, which was granted on August 2, 2024.

Counsel represents that prior to mediation, Plaintiff obtained, through informal discovery, various documents and information that allowed both sides to evaluate the potential exposure and potential risk, such as the Plaintiff's personnel file, payroll and time records, and a statistically significant sample of time and pay records for the Class Members and Aggrieved Employees. It is further represented that using this information, Plaintiff's expert was able to craft a damages model for each of the categories of alleged claims for which the data would reflect violations.

On August 6, 2025, the Parties participated in an all-day mediation presided over by Michael Loeb which led to this Agreement to settle the Action. A fully executed copy of a long form settlement agreement was filed with the court on July 10, 2026, attached to the Declaration of Trishta Dordi ("Dordi Decl.") as Exhibit A.

Now before the Court is the motion for preliminary approval of the settlement agreement.

SETTLEMENT CLASS DEFINITION

“Class” means all individuals who are or were employed by Defendants as nonexempt employees in California during the Class Period. (Settlement Agreement, ¶1.5)

o “Class Period” means the period from November 1, 2021, through October 31, 2025. (¶1.12)

“Aggrieved Employee” means all individuals who are or were employed by Defendants as non-exempt employees in California during the PAGA Period. (¶1.4)

o “PAGA Period” means the period from January 19, 2023, through October 31, 2025. (¶1.34)

There are 235 estimated Class Members. (Dordi Decl., ¶65.)

Based on its records available at mediation and extrapolation therefrom, Defendant estimated that, through June 30, 2025, (1) there would be 5,150 Total Class Pay Periods worked during the Class Period and (2) there would be 3,500 Pay Periods worked during the PAGA Period. The parties agreed to an escalation threshold of 110% of the estimated Class Pay Periods, or 5,665 Total Class Periods. The amount of the Gross Settlement Amount was agreed upon by the Parties based on these estimates. If the actual number of calendar semi-monthly pay periods during which Class Members worked all or part is greater than 110% of the number of Class Pay Periods estimated by Defendant (namely 5,665), then the GSA shall be increased proportionately for each additional period above the escalation threshold of 5,665. (By way of example, if the actual number of Class Pay Periods were 5,800, the GSA would increase by a factor of 1.02383, the ratio of the actual number of Class Pay Periods to the escalation threshold.) Alternatively, Defendant may in its discretion exercise the option to cut off the Class Period end date such that the escalator provision is not triggered. (¶19)

The

parties agree to class certification for the purposes of settlement only. (¶13.1)

Paragraph

13.1 contains typo "If, for any reason the Court does grant Preliminary Approval, Final Approval or enter Judgment, Defendant reserves the right to contest certification of any class for any reasons, and Defendant reserves all available defenses to the claims in the Action, and Plaintiffs reserve the right to move for class certification on any grounds available and to contest Defendant's defenses." (¶13.1) Should be stated as "does not".

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TERMS OF SETTLEMENT AGREEMENT

The essential terms are as follows:

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The

Gross Settlement Amount ("GSA") is \$225,000, non-reversionary. (¶13.1)

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The

Net Settlement Amount ("Net") (\$77,500) is the GSA minus the following:

- o Up to \$75,000 (33 1/3%) for attorney fees (¶13.2.2);

- o Up to \$25,000 for litigation costs (Ibid.);

- o Up to \$7,500 for a Service Payment to the Named Plaintiff (¶13.2.1);

- o Up to \$25,000 for settlement administration costs (¶13.2.3); and

- o Payment of \$15,000 (75% of \$20,000 PAGA penalty) to the LWDA. (¶13.2.5)

Defendant

will separately pay any and all employer payroll taxes owed on the Wage Portions of the Individual Class Payments. (¶3.1)

Funding

of Settlement:

Defendant shall fully fund the Gross Settlement Amount, and also fund the amounts necessary to fully pay Defendant's share of payroll taxes by transmitting the funds to the Administrator no later than fourteen (14) days after the latter of the Effective Date or the date on which Administrator informs the parties of the aggregated total of the Gross Settlement Amount and the employer-side payroll taxes. (¶4.2)

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Correct

the contradiction: Defendant has no obligation to pay the Gross Settlement Amount (or any payroll taxes) prior to the deadline stated in Paragraph 6.1 of this Agreement. (¶3.1)

Distribution

of the Settlement: Within fourteen (14) days after Defendant funds the Gross Settlement Amount, the Administrator will mail checks for all Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payment. Disbursement of the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment and the Class Representative Service Payment shall not precede disbursement of Individual Class Payments and Individual PAGA Payments. (¶4.3)

There

is no claim form requirement. (¶3.1)

Individual Settlement Payment Calculation: An Individual Class Payment calculated by (a)

dividing the Net Settlement Amount by the total number of Class Pay Periods worked by all Participating Class Members during the Class Period, and (b) multiplying the result by each Participating Class Member's Class Pay Periods. (¶3.2.4) Non-Participating Class Members will not receive any Individual Class Payments. The Administrator will retain amounts equal to their Individual Class Payments in the Net Settlement Amount for distribution to Participating Class Members on a pro rata basis. (¶3.2.4.2)

o Tax Allocation: 20% as wages and 80% as interest and penalties. (¶3.2.4.1)

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PAGA

Payments: The Administrator will calculate each Individual PAGA Payment by (a) dividing the amount of the Aggrieved Employees' 25% share of PAGA Penalties \$5,000.00 by the total number of PAGA Period Pay Periods worked by all Aggrieved Employees during the PAGA Period, and (b) multiplying the result by each Aggrieved Employee's PAGA Period Pay Periods. (¶3.2.5.1) If the Court approves PAGA Penalties of less than the amount requested, the Administrator will allocate the remainder to the Net Settlement Amount. (¶3.2.5.2)

o Tax Allocation: 100% penalties. (Ibid.)

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"Response Deadline" means sixty (60) days after the Administrator mails Notice to Class Members and Aggrieved Employees, and shall be the last date on which Class Members may: (a) fax, email, or mail Requests for Exclusion from the Settlement, or (b) fax, email, or mail his or her Objection to the Settlement. Class Members to whom Notice Packets are resent after having been returned undeliverable to the Administrator shall have an additional fourteen (14) calendar days beyond the Response Deadline has expired. (¶1.43) The same deadlines apply to the submission of workweek challenges. (¶8.6)

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If the number of valid Requests for Exclusion exceeds 10% of the total of all Class Members, Defendant may elect to withdraw from the Settlement. (¶10)

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Uncashed Settlement Checks: The

Administrator will cancel all checks not cashed by the void date (not less than 180 days after the date of mailing). (¶4.3.1) For any Class Member whose Individual Class Payment check or Individual PAGA Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such checks to the California Controller's Unclaimed Property Fund in the name of the Class Member thereby leaving no "unpaid residue" subject to the requirements of California Code of Civil Procedure Section 384, subd. (b). (¶4.3.3)

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The

settlement administrator will be
APEX Class Action LLC. (¶1.2)

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Counsel submitted the proposed
settlement agreement to the LWDA on July 9, 2026. (Dordi Decl., ¶96 and Exhibit E thereto.)

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The named Plaintiff and class members
will release certain claims against Defendant.
(See further discussion below).

ANALYSIS OF SETTLEMENT AGREEMENT

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Does
a presumption of fairness exist?

1.

Was the settlement reached through
arm's-length bargaining? Yes.

On August 6, 2025, the Parties
participated in an all-day mediation presided over by Michael Loeb which led to
this Agreement to settle the Action. (Dordi Decl., ¶13)

2.

Were investigation and discovery

sufficient to allow counsel and the court to act intelligently?

Yes. Counsel represents that prior to mediation, Plaintiff obtained, through informal discovery, various documents and information that allowed both sides to evaluate the potential exposure and potential risk, such as the Plaintiff's personnel file, payroll and time records, and a statistically significant sample of time and pay records for the Class Members and Aggrieved Employees. It is further represented that using this information, Plaintiff's expert was able to craft a damages model for each of the categories of alleged claims for which the data would reflect violations. (Id. at ¶¶79-80.)

3.

Is counsel experienced in similar

litigation? Yes. Class Counsel is experienced in class

action litigation, including wage and hour class action cases. (Id. at ¶¶83-89.)

4.

What percentage of the class has

objected? This cannot be determined until the fairness hearing. See Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2014) ¶ 14:139.18, ("Should the court receive objections to the proposed settlement, it will consider and either sustain or overrule them at the fairness hearing.")

CONCLUSION: The settlement is entitled to a presumption of fairness.

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Is

the settlement fair, adequate, and reasonable?

1.

Strength of Plaintiffs' case. "The most important factor is the strength of the case for plaintiffs on the merits, balanced against the amount offered in settlement." (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 130.)

Counsel has

provided the following exposure analysis:

CLAIM

MAX EXPOSURE

Unpaid

Wages

\$634,480.00

Rest

Breaks

\$845,887.50

Meal

Breaks

\$76,310.55

Expenses

\$515,000.00

Wage

Statements

\$342,600.00

Waiting

Time Penalties

\$521,217.00

Untimely

Wages

\$685,200.00

PAGA

\$685,000.00

Total

\$4,305,695.05

(Dordi Decl., ¶¶17-73.)

2. Risk, expense, complexity and likely duration of further litigation. Given the nature of the class claims, the case is likely to be expensive and lengthy to try. Procedural hurdles (e.g., motion practice and appeals) are also likely to prolong the litigation as well as any recovery by the class members.

3. Risk of maintaining class action status through trial. Even if a class is certified, there is always a risk of decertification. (See *Weinstat v. Dentsply Intern., Inc.* (2010) 180 Cal.App.4th 1213, 1226 (“Our Supreme Court has recognized that trial courts should retain some flexibility in conducting class actions, which means, under suitable circumstances, entertaining successive motions on certification if the court subsequently discovers that the propriety of a class action is not appropriate.”).)

4. Amount offered in settlement. Plaintiff’s counsel obtained a Gross Fund Value of \$225,000 which is approximately 5% of the estimated exposure, which is within the ballpark of reasonableness.

The \$225,000 settlement amount, after reduction by the requested deductions, leaves \$77,500 to be divided among the participating class members, for an average payment of \$329.79. ($\$77,500 / 235 = \329.79)

5. Extent of discovery completed and stage of the proceedings. As indicated above, at the time of the settlement, Class Counsel had conducted sufficient discovery.

6. Experience and views of counsel. The settlement was negotiated and endorsed by Class Counsel who, as indicated above, is experienced in class action litigation, including wage and hour class actions.

7. Presence
of a governmental participant. This
factor is not applicable here.

8. Reaction of the class members to the
proposed settlement. The class members' reactions will not be known until
they receive notice and are afforded an opportunity to object and or opt-out.
This factor becomes relevant during the fairness hearing.

CONCLUSION: The settlement can be preliminarily deemed "fair,
adequate, and reasonable."

Scope of the
release

Effective on the date when Defendant fully funds the entire Gross
Settlement Amount and funds all employer payroll taxes owed on the Wage Portion
of the Individual Class Payments, Plaintiff, Class Members, and Class Counsel
will release claims against all Released Parties as follows: (¶6)

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All Participating Class Members, on
behalf of themselves and their respective former and present representatives,
agents, attorneys, heirs, administrators, successors, and assigns, release
Released Parties from those claims arising out of or related to the
allegations set forth in the operative complaint and/or PAGA notice to
the California Labor and Workforce Development Agency that arose during the
Class Period and/or PAGA Period, including claims for: (1) failure to pay
minimum wage for all hours worked in violation of Labor Code sections 1194 and
1194.2, and the applicable IWC Wage Order(s); (2) failure to pay proper
overtime wages in violation of Labor Code sections 510, 1197, and 1198, and the
applicable IWC Wage Order(s); (3) failure to provide compliant rest periods and
pay missed rest break premiums in violation of Labor Code section 226.7 and the
applicable IWC Wage Order(s); (4) failure to provide compliant meal periods and
pay missed meal period premiums in violation of Labor Code sections 226.7 and

512, and the applicable IWC Wage Order(s); (5) failure to maintain accurate employment records in violation of Labor Code section 1174; (6) failure to pay timely wages during employment in violation of Labor Code sections 204, 210; (7) failure to pay all wages due and owing at separation in violation of Labor Code sections 201, 202, and 203; (8) failure to reimburse business expenses in violation of Labor Code sections 2802 and 2804; (9) failure to provide complete and accurate wage statements in violation of Labor Code sections 226 and 226.3; (10) deceptive, fraudulent, or otherwise unlawful business practices based on the foregoing in violation of California's Unfair Competition Law (Bus. & Prof. Code, §§ 17200–17210); (11) statutory penalties based on the foregoing pursuant to PAGA (Lab. Code, §§ 2698-2699.6); and (12) all claims for liquidated damages, penalties, interest, fees, costs based on the foregoing. Except as set forth in Section 6.3 of this Agreement, Participating Class Members do not release any other claims, including claims for vested benefits, wrongful termination, violation of the Fair Employment and Housing Act, unemployment insurance, disability, social security, workers' compensation, or claims based on facts occurring outside the Class Period. (¶6.2)

o The

releases in ¶6.2 are overbroad. Class Members should only release claims alleged in the operative complaint or those which could have been alleged based on the facts and claims actually alleged in the operative complaint. Class Members should not release claims “arising out of” the allegations set forth in the complaint.

o Class

Members should not release claims for PAGA penalties. Only Aggrieved Employees should release such claims. Revise ¶6.2 accordingly.

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All Aggrieved Employees, including Non

Participating Class Members, are deemed to release, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, the Released Parties from all claims for PAGA penalties that were alleged, or reasonably could have been alleged, based on the PAGA Period facts stated in the Operative Complaint and the PAGA Notice, including, e.g., claims for PAGA penalties based on: (1) failure to pay minimum wage for all hours worked in violation of Labor Code sections 1194 and 1194.2, and the Applicable Wage Order; (2) failure to pay proper overtime wages

in violation of Labor Code sections 510, 1197, and 1198, and the Applicable Wage Order; (3) failure to provide compliant rest periods and pay missed rest break premiums in violation of Labor Code section 226.7 and the Applicable Wage Order; (4) failure to provide compliant meal periods and pay missed meal period premiums in violation of Labor Code sections 226.7 and 512, and the Applicable Wage Order; (5) failure to maintain accurate employment records in violation of Labor Code section 1174; (6) failure to pay timely wages during employment in violation of Labor Code sections 204, 210; (7) failure to pay all wages due and owing at separation in violation of Labor Code sections 201, 202, and 203; (8) failure to reimburse business expenses in violation of Labor Code sections 2802 and 2804; (9) failure to provide complete and accurate wage statements in violation of Labor Code sections 226 and 226.3; and (10) deceptive, fraudulent, or otherwise unlawful business practices based on the foregoing in violation of California's Unfair Competition Law (Bus. & Prof. Code, §§ 17200-17210). (¶6.3)

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"Released Parties" means: Defendant and all of Defendant's subsidiaries, affiliates, shareholders, members, agents, predecessors, successors, and assigns, as well as any individual or entity that might be found liable as an Employer under Section 558.1 of the Labor Code as to any Class Member or Aggrieved Employee. (¶1.14)

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"Defendant" means the named defendant in the Action, Arm & J Corporation dba Puente Hills Chrysler Dodge Jeep Ram. (¶1.16)

§ Why

is it proper for the Class to release claims against "any individual or entity that might be found liable as an Employer under Section 558.1 of the Labor Code as to any Class Member or Aggrieved Employee."? (¶1.14) The Class should only release claims against the named Defendant and all of Defendant's subsidiaries, affiliates, shareholders, members, agents, predecessors, successors, and assigns.

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Named Plaintiff will also provide a general release and CC § 1542 waiver. (¶6.1)

May conditional
class certification be granted?

1.
Standards

A detailed analysis of the elements required
for class certification is not required, but it is advisable to review each
element when a class is being conditionally certified (*Amchem Products, Inc. v. Winsor* (1997) 521 U.S. 620, 622-627.) The
trial court can appropriately utilize a
different standard to determine the propriety of a settlement class as opposed
to a litigation class certification.
Specifically, a lesser standard of scrutiny is used for settlement
cases. (*Dunk* at 1807, fn. 19.)
Finally, the Court is under no "ironclad requirement" to conduct an
evidentiary hearing to consider whether the prerequisites for class
certification have been satisfied. (*Wershba*
at 240.)

1.
Analysis

a.
Numerosity. The Class has approximately 235 members. (MPA,
24:11-12.) This element is met.

b.
Ascertainability. The proposed class is defined above. The class definition is "precise, objective
and presently ascertainable." (*Sevidal v. Target Corp.* (2010) 189
Cal.App.4th 905, 919.) Class Members are identifiable through Defendant's records.
(MPA, 24:18-21.)

c.
Community of interest. "The community of interest requirement
involves three factors: '(1) predominant common questions of law or fact; (2)
class representatives with claims or defenses typical of the class; and (3)
class representatives who can adequately represent the class.'" (*Linder*
v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

Counsel contends that the Class is

subject to common compensation policies, common policies regarding the provision of meal and rest breaks, and common reimbursement policies. (MPA, 30:6-9.)

Counsel further contends that typicality is met because Plaintiff was employed by Defendant during the Class Period and experienced the same wage and hour practices as the rest of the class. (MPA, 25:3-7.)

Finally, counsel contends that the representative is adequate because he does not have conflicts with the class and is represented by adequate counsel. (MPA, 25:4-14; Declaration of Plaintiff Dominguez, *passim*.)

d.

Adequacy of class counsel. As indicated above, Class Counsel has shown experience in class action litigation, including wage and hour class actions.

e. Superiority. Given the relatively small size of the individual claims, a class action appears to be superior to separate actions by the class members.

CONCLUSION: The class may be conditionally certified since the prerequisites of class certification have been satisfied.

2.

Is the notice proper?

1. Content of class notice. The proposed notice is attached to the Settlement Agreement. Its content appears to be acceptable. It includes information such as: a summary of the litigation; the nature of the settlement; the terms of the settlement agreement; the proposed deductions from the gross settlement amount (attorney fees and costs, enhancement awards, and administration costs); the procedures and deadlines for participating in, opting out of, or objecting to, the settlement; the consequences of participating in, opting out of, or objecting to, the settlement; and the date, time, and place of the final approval hearing. [The Notice should make it clear that Responses may be submitted via fax and email as well as postal mail]

2. Method of class notice. Notice will be by direct mail. Not later than fifteen (15) days after the Court grants Preliminary Approval of the Settlement, Defendant will simultaneously deliver the Class Data to the Administrator, in the form of a Microsoft Excel spreadsheet. (¶4.1)

Using best efforts to perform as soon as possible, and in no event later than fourteen (14) days after receiving the Class Data, the Administrator will send to all Class Members identified in the Class Data, via first-class United States Postal Service ("USPS") mail, the Class Notice. Before mailing Class Notices, the Administrator shall update Class Member addresses using the National Change of Address database. (¶8.4.2)

Not later than three (3) business days after the Administrator's receipt of any Class Notice returned by the USPS as undelivered, the Administrator shall re-mail the Class Notice using any forwarding address provided by the USPS. If the USPS does not provide a forwarding address, the Administrator shall conduct a Class Member Address Search, and re-mail the Class Notice to the most current address obtained. The Administrator has no obligation to make further attempts to locate or send Class Notice to Class Members whose Class Notice is returned by the USPS a second time. (¶8.4.3) If the Administrator, Defendant, or Class Counsel are contacted by or otherwise discovers any persons who believe they should have been included in the Class Data and should have received Class Notice, the Parties will expeditiously meet and confer in person or by telephone, and in good faith in an effort to agree on whether to include them as Class Members. If the Parties agree, such persons will be Class Members entitled to the same rights as other Class Members, and the Administrator will send, via email or overnight delivery, a Class Notice requiring them to exercise options under this Agreement not later than fourteen (14) days after receipt of Class Notice, or the deadline dates in the Class Notice, which ever are later. (¶8.4.5)

Notice of Final Judgment will be posted on the Settlement Administrator's website. (¶8.8.1)

3. Cost of class notice. As indicated above, settlement administration costs are estimated not to exceed \$25,000. Prior to the time of the final fairness hearing, the claims administrator must submit a declaration attesting to the total costs incurred and anticipated to be incurred to finalize the settlement for approval by the Court.

3. Attorney fees and costs

CRC rule 3.769(b) states: "Any agreement, express or implied, that has been entered into with respect to the payment of attorney fees or the submission of an application for the approval of attorney fees must be set forth in full in any application for approval of the dismissal or settlement of an action that has been certified as a class action."

Ultimately, the award of attorney fees is made by the court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM Group, Inc. v. Drexler (2000) 22 Cal.4th 1084, 1095-1096; Ramos v. Countrywide Home Loans, Inc. (2000) 82 Cal.App.4th 615, 625-626; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-1136.) Despite any agreement by the parties to the contrary, "the court ha[s] an independent right and responsibility to review the attorney fee provision of the settlement agreement and award only so much as it determined reasonable." (Garabedian v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

The question of whether Class Counsel is entitled to \$75,000 (33 1/3%) in attorney fees will be addressed at the fairness hearing when class counsel brings a noticed motion for attorney fees. Class counsel must provide the court with billing information so that it can properly apply the lodestar method and must indicate what multiplier (if applicable) is being sought as to each counsel.

Class Counsel should also be prepared to justify the costs sought (capped at \$25,000) by detailing how they were incurred.

4. Incentive Award to Class Representative

The Settlement Agreement provides for an enhancement award of up to \$7,500 to the named Plaintiff. In connection with the final fairness hearing, the named Plaintiff must submit a declaration attesting to why she should be entitled to an enhancement award in the proposed amount. The named Plaintiff

must explain why she “should be compensated for the expense or risk she has incurred in conferring a benefit on other members of the class.” (Clark v. American Residential Services LLC (2009) 175 Cal.App.4th 785, 806.) Trial

courts should not sanction enhancement awards of thousands of dollars with “nothing more than pro forma claims as to ‘countless’ hours expended, ‘potential stigma’ and ‘potential risk.’

Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiff, is required in order for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit’” (Id.

at 806-807, italics and ellipsis in original.)

The Court will decide the issue of the enhancement awards at the time of final approval.